IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/40 (CHE)/2022
in
CA(CAA)/114(CHE)/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of the *Scheme of Amalgamation* of

REDSKY TECHNOLOGIES PRIVATE LIMITED
A Company incorporated under the Companies Act, 2013,
Having its registered office at
WSS Towers, 107 & 108, Harris Road,
Pudupet, Chennai – 600 002.

...Transferor Company

And

BOTREE SOFTWARE INTERNATIONAL PRIVATE LIMITED
A Company incorporated under the Companies Act, 2013,
Having its registered office at
WSS Towers, 107 & 108, Harris Road,
Pudupet, Chennai – 600 002.

... Transferee Company

Order Pronounced on ***09th December 2022***

CORAM

Dr.DEEPTI MUKESH, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s):Mr.Raghav Rajee Menon, Advocate

ORDER

Per: **Dr. DEEPTI MUKESH, MEMBER (JUDICIAL)**

The present joint Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **REDSKY TECHNOLOGIES PRIVATE LIMITED** (for brevity "Transferor Company") and **BOTREE SOFTWARE INTERNATIONAL PRIVATE LIMITED** (for brevity "Transferee Company")

with under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed as **'Annexure - 9'** to the typed set of documents filed along with the Petition.

2. 1ST MOTION APPLICATION – IN BRIEF

2.1. The Transferor and Transferee Companies filed the First Motion Application vide CA(CAA)/114(CHE)/2021 and sought directions for dispensation/convening of conducting the meeting. Accordingly, this Tribunal vide order dated 03.02.2022 gave the following directions as follows.

	EQUITY SHAREHOLDERS	PREFERENCE SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY	Dispensed with the meeting	Dispensed with the meeting	No Secured Creditor, hence no necessity for a meeting	No Unsecured Creditors, hence no necessity for a meeting
TRANSFEREE COMPANY	Dispensed with the meeting	No Preference Shareholders hence no necessity for a meeting	No Secured Creditor, hence no necessity of meeting	No Unsecured Creditors, hence no necessity of meeting

Subsequently, the second motion petition was filed before this Tribunal by the petitioner companies on 16.02.2022 for sanction of the Scheme of Amalgamation by this Tribunal.

3. SCHEME SUMMARY:

The scheme provides for the amalgamation of Redsky Technologies Private Limited (Transferor Company) and Botree Software International Private Limited (Transferee Company").

4. RATIONALE OF THE SCHEME

The rationale and benefits of the Scheme are briefed as the Transferor Company amalgamates with the Transferee Company which would inter alia provide the following benefits to the stakeholders of the said Companies

(a) Creation of a vertically integrated company across the downstream supply chain distribution management system with the following key benefits.

(i) Complementary capabilities with vertically integrated access to real-time primary, secondary sales and tertiary sales data;

(ii) Expansion of service offerings.

(iii)Strengthened client relationships and accelerated go-to-market,

(iv) Differentiated value proposition to consumer good companies, leading to a deeper engagement with customers;

(v) Potential to create an emerging market-focused consumer tech analytics platform.

(b) Opportunity to leverage the combined asset and capital base, build a stronger and sustainable business and improve the potential for further growth and expansion of the business of the combined entity.

(c) Improve organizational capability and leadership, arising from the pooling of human capital that has the diverse skills, talent

and vast experience to compete successfully in an increasingly competitive industry.

(d) Greater integration, consolidation of business operations and greater financial strength & flexibility, which would result in maximizing overall shareholder value, and will improve the competitive position of the combined entity.

(e) Cost savings are expected to flow from economies of scale and more focused operational efforts, rationalization, standardization and simplification of business processes, greater synergy between the services of the two Companies and the elimination of duplication, and rationalization of administrative expenses.

5. In the second motion Petition filed by the Petitioner Companies, this Tribunal vide order dated 17.03.2022 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) Official Liquidator, (iv) the Income Tax Department, with PAN details of all Petitioner companies and copy to the Chief Principal Commissioner Office as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Dina Mani" Tamil (Tamil Nadu Edition).

6. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Dinamani" (Tamil Nadu Edition) in Tamil on 30.04.2022. Notices have been served to (i) Regional Director,

Southern Region, Chennai on 15.02.2022, (ii) Registrar of Companies Chennai on 15.02.2022, (iii) Official Liquidator on 15.02.2022, (iv) Income Tax Department on 15.02.2022 and the proof of the same by way of affidavit of service dated 12.05.2022 have been enclosed with the separate typed set. Pursuant to the service of notice of the petition the following statutory authorities have responded as under:

7. STATUTORY / REGULATORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 25.04.2022 and has stated that

> 7.1.1. Clause 12 of Part C of the Scheme provides for clubbing of the Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Company shall stand to be altered and merge with the Authorized Share Capital of the Transferee Company.
>
> 7.1.2. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs.11,10,00,000/- divided 6,00,00,000 equity shares of Re.1/- each; 1,00,000 Preference Shares of Rs.10/- each; and 50,000 Preference Shares of Rs.1,000/- each and hence sought to direct the Transferee Company to remit the difference in filing fee and stamp duty if any and also to file the amended MOA and AOA on the above with the Registrar of Companies.

7.2. INCOME TAX DEPARTMENT

Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.3. Official Liquidator

7.3.1. The Official Liquidator, Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 22.06.2022 and has stated that they have appointed M/s.B.P.Jain & Co., Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Company. After, perusal of the records the Chartered Accountant has not come across any act of misfeasance by the Directors, attracting the provisions of Section 339/340 of the Companies Act, 2013 and of the opinion that the affairs of the Transferor Company have not to be conducted in a manner prejudicial to the interest of its members or public.

7.3.2. Further, the Official Liquidator expressed his no objection to the Scheme and sought to take the report of the Chartered Accountant on record and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of **₹50,000/-** plus GST.

8. ACCOUNTING TREATMENT

The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Transferee Company is placed in '**Annexure 19**' of this petition and for the Transferor Company on page 313-314 of 1st motion Application CA(CAA)/114(CHE)/2021.

9. Valuation Report

The Valuation Report obtained from the Registered Valuer dated 21.10.2021, and the Certified True Copy of the Valuation Report is placed in **Annexure - 20** with the main Company Application. Wherein the independent Registered Valuer reported as follows,

> *"in our opinion, the fair share exchange ratio for the proposed amalgamation of the RTPL (Redsky Technologies Private Limited) and BSIPL (Botree Software International Private Limited) is,*
>
> > *165 (One Hundred Sixty-Five) CCPS (Compulsorily Convertible preference share) of BSIPL of INR 100 each fully paid up for every 1(One) equity share held in RTPL of INR 10 each fully paid up.*
> >
> > *165 (One Hundred Sixty-Five) CCPS of BSIPL of INR 100 each fully paid up for every 1(One) CCPS shares held in RTPL of INR 10 each fully paid up.*
> >
> > *937 (Nine Hundred Thirty-Seven) equity shares of BSIPL of INR 1 each fully paid up for every 165 (One Hundred Sixty-Five) CCPS of BSIPL of INR 100 each fully paid up"*

10. It is submitted by the Petitioners that no investigation proceedings are pending against any of the Petitioner Companies

under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

11. OBSERVATIONS OF THIS TRIBUNAL

11.1. This Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* not, in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any material objections from any statutory authorities and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "9" with the Petition as well as the prayer made therein.

11.2. Notwithstanding the above, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

11.3. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or

any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

12. THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, rights and interests of the Transferor Company shall, pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme.

(iii) That the Appointed date for the Scheme shall be **01.04.2021** as mentioned in clause 1.2 of Part A of the Scheme.

(iv) The 'Effective date' shall be the last of the dates on which the certified copies of this order of sanctioning the scheme are filled with ROC Chennai as mentioned in clause 1.7 of Part A of the Scheme.

(v) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vi) That all the employees/workmen of the Transferor Company in service on the date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service with all the benefits.

(vii) The Transferee Company do without further application allot fully paid-up equity shares to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 11.1 of Part C of the Scheme to which they are entitled, in the ratio as mentioned in valuation report as under,

(a) Issue and allot 165 (One Hundred Sixty-Five) 0.0001% fully paid CCPS to the shareholders of the Transferor Company as on Record Date in respect of every 1 (One) equity share of Rs.10/- each held by them in the Transferor Company on the Effective Date; and

(b) Issue and allot 165 (One Hundred Sixty-Five) 0.0001% fully paid CCPS to the shareholders of the Transferor Company as on Record Date in respect of every 1 (One) compulsorily convertible preference share of Rs.10/- each held by them in the Transferor Company on the Effective Date;

(c) Grant 937 (Nine Hundred Thirty-Seven) employee stock options under the New ESOP (Employee Stock Option) of the Transferee Company to the Eligible Employees of the Transferor Company as on Record Date in respect of every 1 (One) option held by them under the ESOP of the Transferor Company on the Record Date ("Option Allotment Ratio").

(viii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(ix) That both the Petitioner Companies, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, on such certified copy being so delivered, the Transferor Company shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to all the Transferee Company and the files relating to all the said companies shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13. Accordingly, the Company Petition stands **allowed** on the aforementioned terms and is disposed of.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Dr.DEEPTI MUKESH
MEMBER (JUDICIAL)

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